I noticed early on that there was an urban bias in the implementation of the clean note policy. Urban areas get relatively clean notes and all the soiled notes end up in the villages. The common complaint when I visited villages, more than the absence of banking facilities, was about how they always got only soiled notes. We tried to redress this grievance, at least partly, by including the distribution of notes and coins in the scope of the activities of a banking correspondent in addition to her regular tasks of cash remittances and withdrawals, although I am not sure to what extent this initiative could mitigate the problem. I must also admit that I did not pay as much attention to this issue as I should have, but do hope that the Reserve Bank takes more active interest in correcting the urban bias in its clean note policy.

Plastic Currency

Cost and longevity are important considerations in currency management. We are a large cash economy; in fact, India is the second-largest producer and consumer of currency in the world, next only to China. Producing such a large amount of currency is expensive. One option for economizing is replacing paper currency with plastic currency as some countries, such as Australia and Singapore, have done. For some years, the Reserve Bank has been planning on introducing plastic currency in India, starting with the ten-rupee note on a pilot basis.

Plastic currency offers several advantages. It makes counterfeiting more difficult, the notes stay clean and last longer, therefore entailing lower costs by way of handling and replacement. As against these advantages, we had to test the durability of plastic currency in India's harsh and heterogeneous climatic conditions. Whether they would get 'cultural acceptance' was also a question mark.

I spoke about the Reserve Bank's plans to introduce plastic currency in one of my public speeches which was widely reported in the media. Within ten days after that, I got a letter from an eighth-class girl from a remote village in Jharkhand, asking me whether plastic currency was